

**LIVE**

Learning Space

**NEWSPAPER**

**22<sup>nd</sup> January, 2018**

**ITEM WISE EDITORIALS**

**4<sup>th</sup> WEEK**



# USA & ARMS SALE

**UPSC CSE – GS II**

**GS II ... EFFECT OF POLICIES AND POLITICS OF  
DEVELOPED COUNTRIES ON INDIA'S INTERESTS**



Learning Space

**LIVE**



# **NEWSPAPER EDITORIALS ... DISCUSSION**

**22<sup>nd</sup> JANUARY, 2018**

# 4

## The great American arms bazaar

Donald Trump's attempt to rework the commercial-strategic equation spells an opportunity for India



VARGHESE K. GEORGE

In a joint press conference with Norwegian Prime Minister Erna Solberg at the White House earlier this month, U.S. President Donald Trump made up the name of a non-existent fighter plane, "F-52," while lauding the F-35 fighter sale in a new defence deal with America's NATO ally. While the gaffe yielded a heavy round of Twitter humour at the expense of Mr. Trump, what has not been adequately noticed is the significance of weapons sales in his diplomatic pitch throughout. He has been an aggressive salesman for American defence manufacturers during his foreign tours and to visiting heads of foreign countries in his first year in office. Promoting the sale of U.S. arms could soon become a key result area for the country's embassies around the world, according to a Reuters report earlier this month. Arms supply has been a key tool of U.S. strategy for years. Mr. Trump wants to make arms sale itself a strategy.

### The existing policy

Arms transfers by the U.S. happen primarily through Foreign Military Sales, Direct Commercial Sales, and Foreign Military Financing, all controlled by stringent laws, the most important of them being the Arms Export Control Act. The U.S. government sells defence equipment worth about \$40 billion every year under Foreign Military Sales. Direct Commercial Sales are worth around \$10 billion a year,



in which a foreign buyer and the American seller negotiate the deal directly. Foreign Military Financing is done through American grants. Of the roughly \$6 billion under that head, \$3.7 billion goes to Israel each year. Egypt, Jordan and Pakistan have been other significant recipients of Foreign Military Financing in recent years, followed by 50 countries that receive smaller amounts totalling \$1 billion. Arms supplies to foreign countries is critical to the U.S. for at least three reasons: it is a key leverage of global influence, it reduces the cost of procurement for the U.S. military by spreading the cost, and by employing 1.7 million people, the defence industry is a key component in the country's economy and consequently, its politics.

But the sale of weaponry, traditionally, is guided less by commercial considerations rather than strategic ones. The Bureau of Political-Military Affairs at the Department of State is the lynchpin of this process; the other players are the Department of Defence, the White House and the U.S. Congress. Each proposed sale is vetted on a case-by-case basis and approved "only if found to further

U.S. foreign policy and national security interests", according to the Bureau's policy. The actual process of a sale could be long-winded, and could take months even after it is approved in principle, an example being the ongoing negotiations to acquire 22 Guardian drones for the Indian Navy from American manufacturer General Atomics.

"We are very concerned that our partners have the ability to buy what they seek, within their means," a U.S. official explained. "So we assess the capability. If someone asks for [the] F-35, we have to ensure that they have the money, the capability to operate it and protect the technology as well as we can. So if we conclude that we cannot sell F-35s, we have at least 10 different types of F-46 fighters that we match with the capability and importance of the partner country." The process of initial assessment of selling arms to any country involves the State and Defence Departments. There are around 100 military officers attached to the State Department and around the same number of diplomats assigned to the Pentagon, who help in such decisions. It is also sought to ensure that the

systems sold to one country do not end up with a third party.

The White House, through the National Security Council, plays a key role in this process. Once all of them are on the same page on a particular proposal, Congressional leaders of the House and the Senate Committee on Foreign Relations are informally consulted. Once they are on board, the sale is formally notified. Significant sales require a tacit approval by lawmakers.

### Changes Mr. Trump wants

Mr. Trump has not hidden his disapproval for the American strategy, which he thinks has been a big failure. His views on defence partnerships are in line with this thinking. He wants to reduce the Foreign Military Financing to the least, except for Israel. He wants American partners to buy more weapons from it, and it is also a move towards reducing trade deficits with key partners such as South Korea and Japan. He is hammering NATO partners to ramp up defence spending and believes that all these partners have taken the U.S. for a ride. He has little patience for linking human rights to arms sales. The fact also is that the actual practice of American arms supplies does not often live up to its professed objectives. The Central Intelligence Agency's clandestine weapons supplies for Syrian rebels reached the Islamic State and al-Qaeda for instance, and Mr. Trump has ordered the discontinuation of the programme. So, overall, the President is pushing for a liberalisation of U.S. arms sales to partner countries, guided less by any grand strategic vision, but by commercial and domestic political calculations. He is seeking to flip

the equation between commercial and strategic calculations behind arms sales in favour of the first.

The security establishment and Congress will not easily accede to major changes in existing U.S. laws in order to further Mr. Trump's ideas. However, Mr. Trump holds the last word on defining what U.S. national interests are, and his thinking could turn out to be an opportunity for India, one of the largest importers of major arms. India has bought \$15 billion worth of defence equipment from the U.S. over the last decade, but Indian requests for arms often get entangled in the U.S. bureaucracy for multiple reasons. The honorific title of "major defence partner" notwithstanding, the traditional American propensity to link sales to operational questions such as interoperability and larger strategic notions dampens possibilities. India's robust defence partnership with Russia is a major irritant for American officials.

If Mr. Trump manages to emphasise the commercial benefits of arms sales, and de-emphasise the strategic angle, it could lead to a change in the dynamics of the India-U.S. defence trade, and bilateral trade in general. India, always wary of military alliances, will be more comfortable with weapons purchases as commercial deals. For America, India could be a reliable, non-proliferating buyer of its arms. The U.S. also has a trade deficit with India. It was the out-of-the-box thinking of a President that led to the India-U.S. civil nuclear deal. With his unconventional thinking, could Mr. Trump offer F-35s to India?

varghese.g@thehindu.co.in

**THE HINDU**  
INDIA'S NATIONAL NEWSPAPER SINCE 1878

22<sup>nd</sup> January, 2018

## 4 The great American arms bazaar

22<sup>nd</sup> January, 2018

Donald Trump's attempt to rework the commercial-strategic equation spells an opportunity for India

In a joint press conference with Norwegian Prime Minister Erna Solberg at the White House earlier this month, U.S. President Donald Trump made up the name of a non-existent fighter plane, "F-52," while lauding the F-35 fighter sale in a new defence deal with America's NATO ally. While the gaffe yielded a heavy round of Twitter humour at the expense of Mr. Trump, what has not been adequately noticed is the significance of weapons sales in his diplomatic pitch throughout. He has been an aggressive salesman for American defence manufacturers during his foreign tours and to visiting heads of foreign countries in his first year in office. Promoting the sale of U.S. arms could soon become a key result area for the country's embassies around the world, according to a Reuters report earlier this month. Arms supply has been a key tool of U.S. strategy for years. Mr. Trump wants to make arms sale itself a strategy.

...Contd.

## 4 The great American arms bazaar

...Contd.

THE  HINDU  
INDIA'S NATIONAL NEWSPAPER SINCE 1878

22<sup>nd</sup> January, 2018

The existing policy

Arms transfers by the U.S. happen primarily through Foreign Military Sales, Direct Commercial Sales, and Foreign Military Financing, all controlled by stringent laws, the most important of them being the Arms Export Control Act. The U.S. government sells defence equipment worth about \$40 billion every year under Foreign Military Sales. Direct Commercial Sales are worth around \$110 billion a year, in which a foreign buyer and the American seller negotiate the deal directly. Foreign Military Financing is done through American grants. Of the roughly \$6 billion under that head, \$3.7 billion goes to Israel each year. Egypt, Jordan and Pakistan have been other significant recipients of Foreign Military Financing in recent years, followed by 50 countries that receive smaller amounts totalling \$1 billion. Arms supplies to foreign countries is critical to the U.S. for at least three reasons: it is a key leverage of global influence, it reduces the cost of procurement for the U.S. military by spreading the cost, and by employing 1.7 million people, the defence industry is a key component in the country's economy and consequently, its politics.

...Contd.



## 4 The great American arms bazaar

...Contd.

THE  HINDU  
INDIA'S NATIONAL NEWSPAPER SINCE 1878

22<sup>nd</sup> January, 2018

But the sale of weaponry, traditionally, is guided less by commercial considerations rather than strategic ones. The Bureau of Political-Military Affairs at the Department of State is the lynchpin of this process; the other players are the Department of Defence, the White House and the U.S. Congress. Each proposed sale is vetted on a case-by-case basis and approved “only if found to further U.S. foreign policy and national security interests”, according to the Bureau’s policy. The actual process of a sale could be long-winded, and could take months even after it is approved in principle, an example being the ongoing negotiations to acquire 22 Guardian drones for the Indian Navy from American manufacturer General Atomics.

“We are very concerned that our partners have the ability to buy what they seek, within their means,” a U.S. official explained. “So we assess the capability. If someone asks for [the] F-35, we have to ensure that they have the money, the capability to operate it and protect the technology as well as we can. So if we conclude that we cannot sell F-35s, we have at least 10 different types of F-16 fighters that we match with the capability and importance of the partner country.” The process of initial assessment of selling arms to any country involves the State and Defence Departments. There are around 100 military officers attached to the State Department and around the same number of diplomats assigned to the Pentagon, who help in such decisions. It is also sought to ensure that the systems sold to one country do not end up with a third party.

The White House, through the National Security Council, plays a key role in this process. Once all of them are on the same page on a particular proposal, Congressional leaders of the House and the Senate Committee on Foreign Relations are informally consulted. Once they are on board, the sale is formally notified. Significant sales require a tacit approval by lawmakers.

## 4 The great American arms bazaar

...Contd.

THE  HINDU  
INDIA'S NATIONAL NEWSPAPER SINCE 1878

22<sup>nd</sup> January, 2018

Changes Mr. Trump wants

Mr. Trump has not hidden his disapproval for the American strategy, which he thinks has been a big failure. His views on defence partnerships are in line with this thinking. He wants to reduce the Foreign Military Financing to the least, except for Israel. He wants American partners to buy more weapons from it, and it is also a move towards reducing trade deficits with key partners such as South Korea and Japan. He is hammering NATO partners to ramp up defence spending and believes that all these partners have taken the U.S. for a ride. He has little patience for linking human rights to arms sales. The fact also is that the actual practice of American arms supplies does not often live up to its professed objectives. The Central Intelligence Agency's clandestine weapons supplies for Syrian rebels reached the Islamic State and al-Qaeda for instance, and Mr. Trump has ordered the discontinuation of the programme. So, overall, the President is pushing for a liberalisation of U.S. arms sales to partner countries, guided less by any grand strategic vision, but by commercial and domestic political calculations. He is seeking to flip the equation between commercial and strategic calculations behind arms sales in favour of the first.

...Contd.

## 4 The great American arms bazaar

...Contd.

**THE HINDU**  
INDIA'S NATIONAL NEWSPAPER SINCE 1878

22<sup>nd</sup> January, 2018

The security establishment and Congress will not easily accede to major changes in existing U.S. laws in order to further Mr. Trump's ideas. However, Mr. Trump holds the last word on defining what U.S. national interests are, and his thinking could turn out be an opportunity for India, one of the largest importers of major arms. India has bought \$15 billion worth of defence equipment from the U.S. over the last decade, but Indian requests for arms often get entangled in the U.S. bureaucracy for multiple reasons. The honorific title of 'major defence partner' notwithstanding, the traditional American propensity to link sales to operational questions such as interoperability and larger strategic notions dampens possibilities. India's robust defence partnership with Russia is a major irritant for American officials.

If Mr. Trump manages to emphasise the commercial benefits of arms sales, and de-emphasise the strategic angle, it could lead to a change in the dynamics of the India-U.S. defence trade, and bilateral trade in general. India, always wary of military alliances, will be more comfortable with weapons purchases as commercial deals. For America, India could be a reliable, non-proliferating buyer of its arms. The U.S. also has a trade deficit with India. It was the out-of-the-box thinking of a President that led to the India-U.S. civil nuclear deal. With his unconventional thinking, could Mr. Trump offer F-35s to India?

# 4

## The great American arms bazaar

Donald Trump's attempt to rework the commercial-strategic equation spells an opportunity for Ir



VARGHESE K. GEORGE

In a joint press conference with Norwegian Prime Minister Erna Solberg at the White House earlier this month, U.S. President Donald Trump made up the name of a non-existent fighter plane, "F-52," while lauding the F-35 fighter sale in a new defence deal with America's NATO ally. While the gaffe yielded a heavy round of Twitter humour at the expense of Mr. Trump, what has not been adequately noticed is the significance of weapons sales in his diplomatic pitch throughout. He has been an aggressive salesman for American defence manufacturers during his foreign tours and to visiting heads of foreign countries in his first year in office. Promoting the sale of U.S. arms could soon become a key result area for the country's embassies around the world, according to a Reuters report earlier this month. Arms supply has been a key tool of U.S. strategy for years. Mr. Trump wants to make arms sale itself a strategy.



in which a foreign buyer and the American seller negotiate the deal directly. Foreign Military Financing is done through American grants. Of the roughly \$6 billion under that head, \$3.7 billion goes to Israel each year. Egypt, Jordan and Pakistan have been other significant recipients of Foreign Military Financing in recent years, followed by 50 countries that receive smaller amounts totalling \$1 billion. Arms supplies to foreign countries is critical to the U.S. for at least three reasons: it is a key leverage of global influence, it reduces the cost of procurement for the U.S. military by spreading the cost, and by employing 1.7 million people, the defence industry is a key component in the country's

U.S. foreign policy and national security interests", according to the Bureau's policy. The actual process of a sale could be long-winded, and could take months even after it is approved in principle, an example being the ongoing negotiations to acquire 22 Guardian drones for the Indian Navy from American manufacturer General Atomics.

"We are very concerned that our partners have the ability to buy what they seek, within their means," a U.S. official explained. "So we assess the capability. If someone asks for [the] F-35, we have to ensure that they have the money, the capability to operate it and protect the technology as well as we can. So if we conclude that

systems sold to one country do not end up with a third party.

The White House, through the National Security Council, plays a key role in this process. Once all of them are on the same page on a particular proposal, Congressional leaders of the House and the Senate Committee on Foreign Relations are informally consulted. Once they are on board, the sale is formally notified. Significant sales require a tacit approval by lawmakers.

### Changes Mr. Trump wants

Mr. Trump has not hidden his disapproval for the American strategy, which he thinks has been a big failure. His views on defence partnerships are in line with this thinking. He wants to reduce the Foreign Military Financing to the least, except for Israel. He wants American partners to buy more weapons from it, and it is also a move towards reducing trade deficits with key partners such as South Korea and Japan. He is hammering NATO partners to ramp up defence spending and believes that all these partners have taken the U.S. for a ride. He has little patience for linking human rights to arms sales. The fact also is that the actual practice of American arms

## UPSC CSE – GS II

## GS II ... EFFECT OF POLICIES AND POLITICS OF DEVELOPED COUNTRIES ON INDIA'S INTERESTS

## IMPORTANT QUESTION

## ESSAY/ MAINS / GD / INTERVIEWS

USA's emphasis on commercial benefits of arms sales and de-emphasising the strategic angle could lead to change in the dynamics of the India-U.S. defence relations. Comment

**THE HINDU**  
INDIA'S NATIONAL NEWSPAPER SINCE 1878

22<sup>nd</sup> January, 2018



## AMERICAN ARMS SALE

**1 FOREIGN MILITARY SALES**

The Foreign Military Sales are around \$ 40 billion every year and U.S. Government sells defence equipment under FMS.

**2 DIRECT COMMERCIAL SALES**

- The Direct Commercial Sales are worth around \$ 110 billion every year.
- Here Foreign buyer and American seller negotiate the deal directly.

**3 FOREIGN MILITARY FINANCING**

- It is done through American grants.
- Out of \$ 6 billion under that head, almost \$ 3.7 billion went to Israel last year.
- Egypt, Jordan and Pakistan have been other significant recipients of Foreign Military Financing in recent years.
- 50 other Countries also receive smaller amounts totalling to \$ 1 billion.



## WHY ARMS SUPPLIES TO FOREIGN COUNTRIES IS CRITICAL FOR U.S.?

- 1 It is the key leverage of global influence.
- 2 It reduces the cost of procurement for the U.S. military by spreading the costs.
- 3 Defence industry employs 1.7 million people and it is the key component in the Country's economy and consequently, its politics.

***Each proposal is vetted on case-to-case basis and approved only if found to further U.S. Foreign Policy and National Security interests.***



## WHAT ASPECTS AMERICA SEE BEFORE SELLING THE WEAPONS?

- 1 It assess the capability. It has to ensure that they have the money, the capability to operate it and also to protect the technology.
- 2 There are around 100 military officers attached to the State department and around the same number of diplomats assigned to the Pentagon, who help in such decisions.

*The White House, through the National Security Council, plays a key role in this process.*



DONALD TRUMP



## WHAT IS THE THOUGHT PROCESS OF DONALD TRUMP?

- 1 He wants to reduce Foreign Military Financing except for Israel.
- 2 He wants American partners to buy more weapons from it.
- 3 He wants to reduce trade deficits with key partners such as South Korea and Japan.
- 4 He wants NATO to ramp-up defence spending.
- 5 He is not interested in linking human rights to arms sales.

*Trump is in favour of commercial calculations more than the strategic ones, when it comes to the arms.*



## WHAT ABOUT INDIA?

- 1 India is one of the largest importers of major arms.
- 2 India bought \$ 15 billion worth of defence equipment from the U.S. over the last decade.
- 3 India got the “Major Defence Partner” status. Still America is linking sales to operational questions such as interoperability and India’s robust defence partnership with Russia is the major irritant for American officials.

***Mr. Trump’s emphasis on commercial benefits of arms sales de-emphasising the strategic angle could lead to change in the dynamics of the India-U.S. defence trade in particular and bilateral trade in general.***

WE EXPRESS OUR  
SINCERE THANKS  
FOR VIEWING THIS VIDEO

Presented by



Learning Space

For Suggestions:

[suggestions@learningspace.in](mailto:suggestions@learningspace.in)

To Contact us:

[info@learningspace.in](mailto:info@learningspace.in)

OUR TEAM

G. V. Rao

Amrita Naidu

D. Sunil Kumar

L. V. Krishna

D. Chaitanya

K. Srikanth

G. Ravi Babu

D. Joji

K. Victor Babu

Visit us at:

[www.learningspacedigital.com](http://www.learningspacedigital.com)

0 8 6 6 - 2 4 4 4 7 2

0 9 8 4 9 9 4 2 2 9 9